Outlook

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Follow-up: which relationships look valuable before full profitability exists?

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Finance needs a customer-value proxy for planning, but a full profitability engine and cost allocation are not available. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. There are enough data exceptions to make a polished average dangerous; preserve the unresolved cases.

Could the answer be that high activity is being offset by service and fee friction? Or are we actually seeing that recurring inflows and product depth identify durable value? I also do not want us to miss the possibility that some low-volume relationships are strategically valuable because of loan or deposit behaviour.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2021 as the new evidence point rather than recycling the earlier conclusion. The practical decision is how to segment relationships for planning without pretending the proxy is accounting profit. Please send a Power BI page with drill-through to a reproducible case list; I need the exceptions and counter-examples, not only an average.

Work from monthly account snapshots, status events, limits, product enrolments and signatories; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; customer contacts, complaints and suggestions; campaign design and customer responses. Label the result as a value proxy. It is not net interest margin, return on equity or customer profitability.

Regards